



United States
Attorney's Office
Central District of California



South Bay-Based Nursing Facilities Chain and Owner Agree to Pay \$18 Million to Resolve COVID-Related False Claims Act Allegations

Friday, January 17, 2025

For Immediate Release

U.S. Attorney's Office, Central District of California

LOS ANGELES – Torrance-based skilled nursing facilities chain Unified Care Services LLC, its affiliates, and its owner, Emmanuel David, have agreed to pay \$18 million to resolve allegations that they violated the False Claims Act (FCA) by knowingly providing false information in support of Paycheck Protection Program (PPP) loan applications and loan forgiveness applications submitted by Unified Care and its affiliates, the Justice Department announced today.

The PPP, an emergency loan program established by Congress in March 2020 under the Coronavirus Aid, Relief and Economic Security (CARES) Act and administered by the Small Business Administration (SBA), was intended to support small businesses struggling to pay employees and other business expenses during the COVID-19 pandemic.

Borrowers were eligible to seek forgiveness of the loans if they spent the loan proceeds on employee payroll and other eligible expenses. Only small businesses were eligible for PPP loans. Whether an applicant qualified as a small business was determined by assessing the employees, revenues, or net worth of the applicant along with all corporate affiliates that shared common operational control. When applying for PPP loans, borrowers were required to certify the truthfulness and accuracy of all information provided in their loan applications, including their size and number of employees.

The settlement resolves allegations that Unified Care and its affiliates falsely certified they were small business with fewer than 500 employees when they submitted their PPP loan and loan forgiveness applications in 2020. These applications allegedly failed to disclose that the entities applying were part of a larger chain of facilities that all shared common ownership and control that rendered Unified Care and its affiliates ineligible for PPP loans.

"COVID-relief programs were designed to help people and businesses during the worst public health crisis this nation had seen in one century," said United States Attorney Martin Estrada. "My office will continue to pursue those who knowingly cheat taxpayers by violating PPP and other pandemic-related programs."

The Unified Care affiliates covered by the settlement include Unified Care Services LLC; Casa Montana LLC; Geri-Care Inc.; Geri Care V LLC; Pacific Palms Healthcare LLC; Foothill Care Center Inc.; Mount Megiddo LLC; Canyon Properties III LLC; Cloverleaf Enterprises Inc.; Foothill Care Center LLC; Foothill Care Center II LLC; David Kleis III LLC; David Kleis II LLC; Miramonte Enterprises LLC; and Washington Enterprises III LLC.

"PPP loans were intended to assist eligible small businesses during the pandemic," said Principal Deputy Assistant Attorney General Brian M. Boynton, head of the Justice Department's Civil Division. "When ineligible businesses improperly obtained loans, they harmed both the taxpayers who funded the program and the eligible businesses who were denied relief."

"This resolution demonstrates the department's commitment to ensuring that those who improperly obtain federally guaranteed PPP loans are held accountable and funds repaid to the American taxpayer" said Director of COVID-19 Fraud Enforcement Mandy Riedel of the Justice Department.

"The SBA Office of Inspector General is committed to ensuring the integrity of CARES Act programs," said Special Agent in Charge Weston King of the SBA Office of Inspector General, Western Region. "Through partnerships with federal agencies, we continue to identify fraud schemes and protect relief funds from misuse."

The settlement resolved a lawsuit filed under the *qui tam* or whistleblower provisions of the False Claims Act, which permit private parties to file suit on behalf of the United States for false claims and share in a portion of the government's recovery. The *qui tam* lawsuit is captioned *United States ex rel. Ashwani Chawla v. Unified Care Services et al.*, CV 21-5935-GW (CDCA). The whistleblower will receive \$2,070,000 in connection with the settlement.

The resolution obtained in this matter was the result of a coordinated effort between the Civil Division's Commercial Litigation Branch, Fraud Section, and the U.S. Attorney's Office for the Central District of California, with assistance from the SBA's Office of General Counsel (SBA-OGC) and the SBA Office of Inspector General (SBA-OIG).

Assistant United States Attorney Jack D. Ross of the Civil Fraud Section and Senior Trial Counsel Benjamin C. Wei of the Justice Department's Civil Division handled the matter, with assistance from Mary Cvengros of SBA-OGC and Christopher H. Stephens of SBA-OIG.

On May 17, 2021, the Attorney General established the COVID-19 Fraud Enforcement Task Force to marshal the resources of the Justice Department in partnership with agencies across the federal government to enhance efforts to combat and prevent pandemic-related fraud. The Task Force bolsters efforts to investigate and prosecute the most culpable domestic and international actors committing civil and criminal fraud and assists agencies tasked with administering relief programs to prevent fraud

by, among other methods, augmenting and incorporating existing coordination mechanisms, identifying resources and techniques to uncover fraudulent actors and their schemes, and sharing and harnessing information and insights gained from prior enforcement efforts. For more information on the department's response to the pandemic, please visit www.justice.gov/coronavirus.

Tips and complaints from all sources about potential fraud affecting COVID-19 government relief programs can be reported by visiting the webpage of the Civil Division's Fraud Section, which can be found here. Anyone with information about allegations of attempted fraud involving COVID-19 can also report it by calling the Justice Department's National Center for Disaster Fraud (NCDF) Hotline at 866-720-5721 or via the NCDF Web Complaint Form at: www.justice.gov/disaster-fraud/ncdf-disaster-complaint-form.

The claims resolved by the settlement are allegations only. There has been no determination of liability.

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